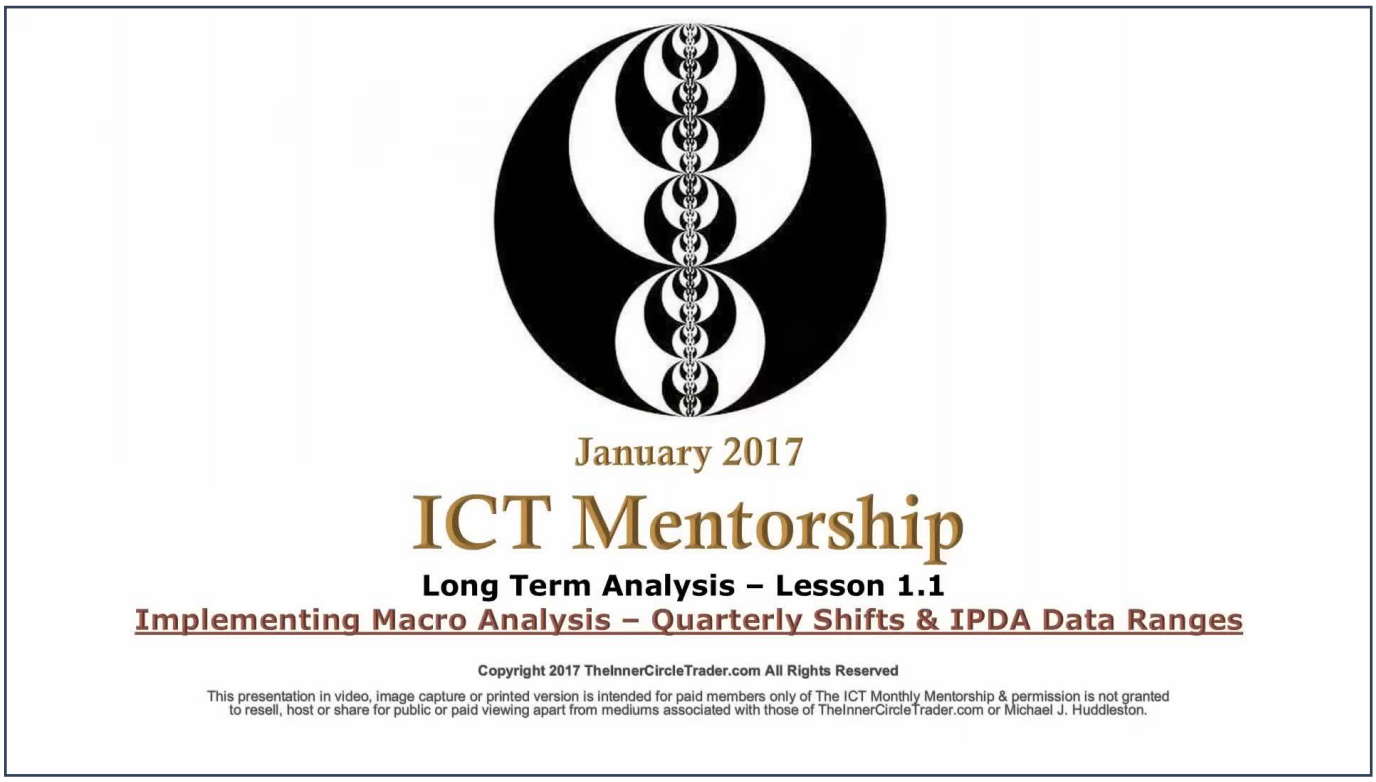
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - QUARTERLY SHIFTS & IPDA DATA RANGES



Welcome to the January 2017 ICT Mentorship long-term analysis Lesson 1.1. This teaching covers implementing macro analysis, specifically Quarterly Shifts and IPDA Data Ranges, and the concept of the quarterly Market shift. Our belief is that an automated price delivery engine (algorithm) provides efficiency in the delivery of price, allowing trading at every potential trading price available per asset. We will be dealing specifically with Forex for this teaching, but the effect of a quarterly Market shift is universal across all asset classes.

I want to ask you a question for a moment: try to imagine the world of investing if it were all completely random. If the market was, in fact, random, how could anyone reasonably have an edge? Statistics count the odds of something that's already happened, attributing that to some future unseen event, so there's no guarantee. If markets were completely random and our analysis concepts were based on the effects of randomness, we're left with the conclusion that things may have happened 50 times out of the last 60, and therefore an edge could be defined. However, that does not equate to future events that have not been seen yet. This is the falsehood of teaching the idea that markets are completely random. If they were, I myself would never have an interest in them because I would have no trust in any measure of prognostication that would fulfill a profitable condition as an outcome.

Yes, my belief is that the markets are 100 percent engineered; they're absolutely controlled to the very pip in the Foreign Exchange Market. I've proven many times in the past, over many years, how we can call specific price levels to the pip. Sometimes it varies a little bit, but many times it goes right to the pip as an exit or a target. In my opinion, if I can do that multiple times throughout the year, regardless of what I believe I'm going to be able to communicate to you from my understanding about the marketplace, if I can do that, to me that proves there is, in fact, zero randomness to the marketplace. Because if it was randomness, I could not be that precise about my forecasts and where I believe the market was going to go.

If we understand and can agree that the markets do, in fact, have an element of control, this is in the form of a price engine algorithm at the Central Bank level. They set the price; they allow the markets to move to a predefined range for the day for the most part. Sometimes things may occur that send the price outside of the predetermined range, but for the most part, the Interbank Price Delivery Algorithm (IPDA) has data ranges that it works within. By understanding what those ranges are, we can go into the marketplace with a predetermined idea of where the algorithm will do its work. Where is it pulling the information from? What dates? What ranges? And what specific highs and lows is the algorithm reaching to as a reference point? That's what this teaching will talk about specifically today. I want to remind you, I've talked briefly about this in the free tutorial section, that there is a market structure shift that takes place every three to four months, and for the most part, that's universal across all asset classes.

This effect takes place because the market has to generate new interest; it has to have a new sense of urgency. A missed opportunity is a lost opportunity in many people's eyes as a trader, so the markets have a tendency to move around and gyrate every three to four months. What was true or seen as a directional movement over the last two or three months may not, in fact, be true for the next coming two to three or four months in Market Direction. So I'm going to counsel you to always look at price on a macro level – monthly, weekly, and daily time frames – and learn to anticipate intermediate price swings. It doesn't matter if the market is predisposed to go up in a primary bullish market or a primary down market; you can still ferret out rather significant intermediate term retracements in either strong uptrends or downtrends. If you understand this component, you'll also be able to weather deep retracements sometimes required in long-term position trading. You'll also understand that by recognizing intermediate term retracements on these higher time frame levels, if you're a long-term position Trader, you'll have no problem and no emotional commitment to not holding the position forever, but in fact, taking some of the position off, waiting for that retracement, and then going back in, adding that same position you just took off or a portion of that position off your long-term position trade and then adding it back in to recapitalize on that further movement higher. Every three to four months, there's going to be a change in direction.

Every three to four months, there's going to be a change in direction. It may cause a consolidation or it may cause a retracement of whatever price swing has been unfolding up to that moment. The fact that the market is in a primary uptrend or a downtrend will determine whether the market has a deep retracement on a higher time frame basis or if it goes into consolidation. If the market's in a strong uptrend, many times you won't see much of a retracement, but you will see consolidation or a trading range form, and they'll capitalize new long positions that way. Sometimes they'll take the market below a short-term low on a daily chart and then send it higher after that; that would be the extent of any kind of retracement. Either way, I want you to look at the marketplace: there's always some intermediate term play to trade on every three to four months on every asset class. If the market you're looking at or studying is in a significant range-bound environment, look at a market that is potentially moving up to a new uptrend or downtrend stage in its price action. By doing so, it will also get you in line with potential long-term trends moving higher or lower respectively to what you would be seeing in your charts. We're going to talk a lot about that this month, but let's get into a little bit more nuts and bolts about how we can use IPDA data ranges and the quarterly Market shift. Obviously, my view on the marketplace is if we can focus in on what the smart money is doing with their money, how are they allocating funds, how are they moving into the marketplace? If we can mimic those characteristics in our own trading, hopefully the outcome should be we have high probability conditions.

When we look at smart money accumulation for buy programs, a buy program is when the market goes through a series of successive daily sessions that are consecutive, regardless of what time frame it is. You can see a buy program on an hourly, four-hour, daily, weekly, or monthly chart. The primary trading time frame for this month is the daily chart. So if we're anticipating a buy program, that means we're expecting a series of up days. This could last as long as several months, or a few days up on the daily chart can still be considered a buy program if it's reaching for a measure of liquidity above recent market highs. When we're looking for smart money accumulation for buy programs, we're essentially expecting manipulation in the underlying versus the benchmark. The underlying is what you're actually trading, and the benchmark is what you're measuring for potential manipulation or lack thereof. This discussion specifically deals with the Foreign Exchange Market for this teaching, but it will also apply to commodities, stocks, and interest rate markets.

For smart money accumulation for a buy program on a daily chart:

- The Benchmark makes a lower low while the underlying makes a higher low. This indicates strong buying pressure under the underlying issue or currency, showing relative strength and anticipating upside movement (e.g., Dollar Index lower low, Dollar Yen higher low).

- The underlying (currency) makes a lower low while The Benchmark makes a lower high. This applies to inverse correlated benchmarks (e.g., British Pound USD lower low, Dollar Index lower high, implying pound going under old low to scoop sell side liquidity for a Turtle Soup scenario).

- The Benchmark makes a higher high while the underlying makes a higher low. This states a condition where the dollar making a higher high looks like relative strength for the dollar, but the underlying (e.g., pound dollar) makes a higher low, indicating relative strength is on the buy side for pound versus dollar. The dollar goes above an old high to take buy stops, then rejects, indicating a Turtle Soup sell.

For smart money distribution for sell programs, we look at four conditions, relative to the Daily time frame only. The manipulation in the underlying versus The Benchmark is what we're studying:

- The Benchmark makes a higher high while the underlying makes a lower high. This would be a sell program, showing heavy distribution (e.g., Dollar Index higher high, Dollar Yen lower high).

- The underlying makes a higher high while The Benchmark makes a higher low. If the underlying is the pound dollar and it makes a higher high, it's reaching above an old high to get buy side liquidity for a Turtle Soup sell. The dollar Index failing to make a lower low implies underlying strength in the dollar Index.

- The Benchmark makes a lower low while the underlying makes a lower high. This implies the pound dollar, while making a lower high, is showing relative weakness. While The Benchmark (dollar Index) makes that lower low, it looks like broken support, but in fact, the dollar Index would be breaking the previous low to accumulate sell stops. The pound dollar was unwilling to make a higher high as it's heavily under distribution, leading to heavy selling in the pound dollar due to relative weakness.

For smart money distribution for sell programs, focusing on manipulation in the underlying versus The Benchmark:

- The dollar Index makes a higher high at the same time the dollar Swiss would be making a lower high. That would be relative weakness in the dollar Swiss pair, with the dollar Index's move above an old high being a run on buy stops for a dollar, followed by rejection and lower prices on the dollar Index.

- The dollar Index and the dollar Swiss are closely, positively correlated, just like dollar CAD (when oil is not an issue) and dollar yen are also closely, positively correlated to the dollar Index.

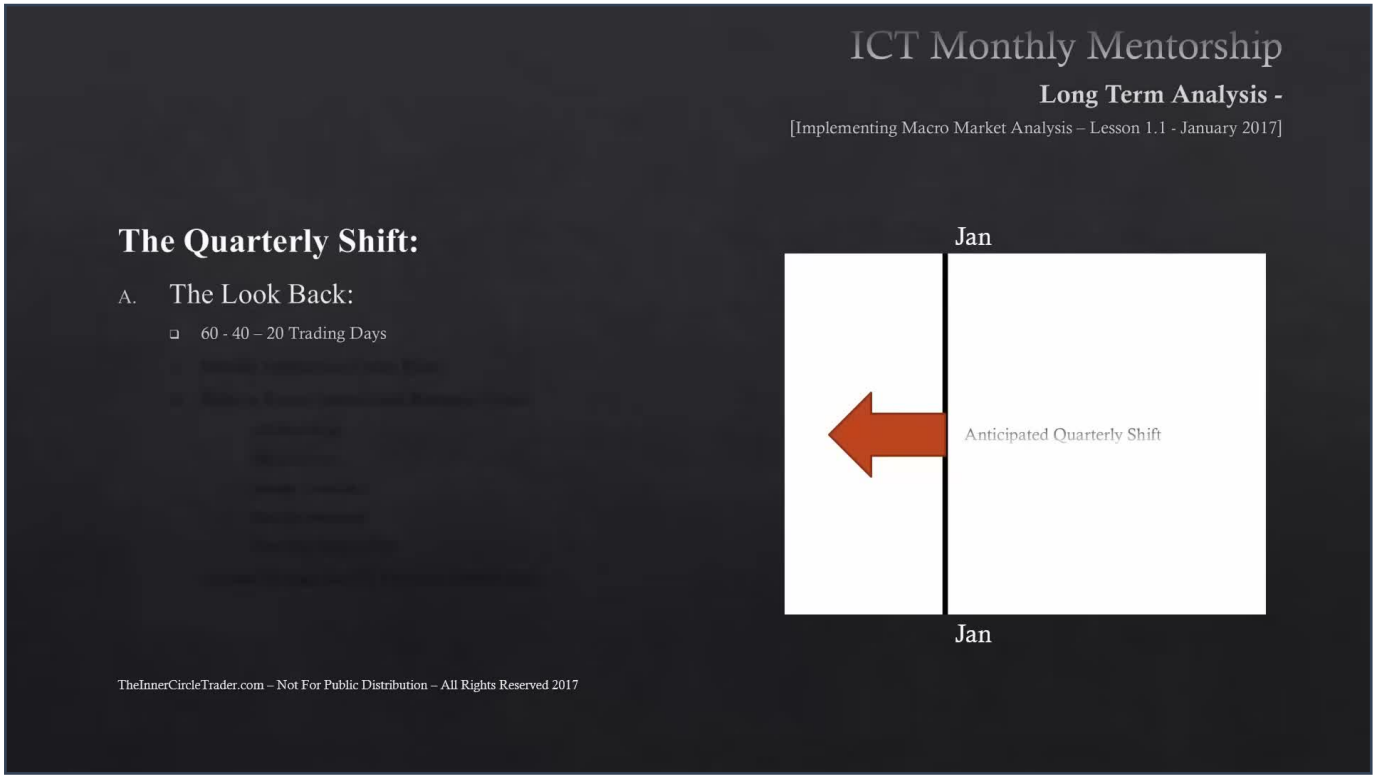
- Versus the euro dollar and the dollar Index, they're inversely correlated, meaning whatever the euro dollar is doing, the opposite is seen in the dollar Index.

- In a sell program example, if the euro dollar makes a higher high while the dollar Index makes a higher low, this indicates relative strength in the dollar Index and underlying weakness should be expected after euro dollar takes out that old high, running out buy stop liquidity, and the daily chart should see lower prices.

- If the dollar Index makes a lower low while the euro dollar makes a lower high, that's relative weakness in the euro dollar pair. While the dollar Index goes below that lower low, it would be scooping up sell side liquidity, followed by rejection and trading higher on the dollar Index, thus pushing euro dollar lower.

We are looking at the dollar Index on a monthly chart, outlining a full year from January to January. Observe the price swings between these vertical reference points, noting a couple of different Market shifts that take place. This is what it looks like if you have it set up for every four months versus every three months; it gives a good context of market structure and anticipates the next Market shift. This is the same dollar Index viewed on a weekly time frame, looking at every four months for quarterly shifts. Dropping down to a daily chart, we have the dollar Index daily, using calendar starts of each month from January 1st to January 1st of the following year (e.g., 2016's January 1st to 2017's January 1st). Notice how many times the market shifts back and forth and how many price swings you see over the course of a full year. On a daily time frame, you're not getting a great deal of setups, which is why most people don't trade this time frame, but it is supportive to all other disciplines of trading. The market does, in fact, give us a very good macro view, providing framework and structure to work within so we can trade on one side of the marketplace and focus primarily there.

I have said this multiple times and kind of belabor it here, but I want you to see how the market does, in fact, give us a very good macro view of the marketplace, where it gives us framework and structure to work within so that way we can trade on one side of the marketplace and focus primarily there. Let's deal with a little bit more detail about what a quarterly shift is. On your chart, you're going to delineate with a vertical line on your calendar at the beginning of the year. If you're just now starting (e.g., watching this video in May, three years from now), you could do a whole new analysis by placing a vertical line at the beginning of the most recent past month. For instance, if we're in January, you would put it on the first day of December and do everything I'm about to explain. To start it all and make it easy to explain, I just used the January to January factor, and we're going to be viewing that as the anticipated quarterly shift. We don't know that's going to be true, but we're going to do some things to arrive at how we can calibrate that level. This is called the look back. You're going to look back from your month of study (the most recent past month), using that first trading day of that month to put a vertical line on your chart. From that point on, you're going to be looking back to the left: 60 trading days, 40 trading days, and 20 trading days.

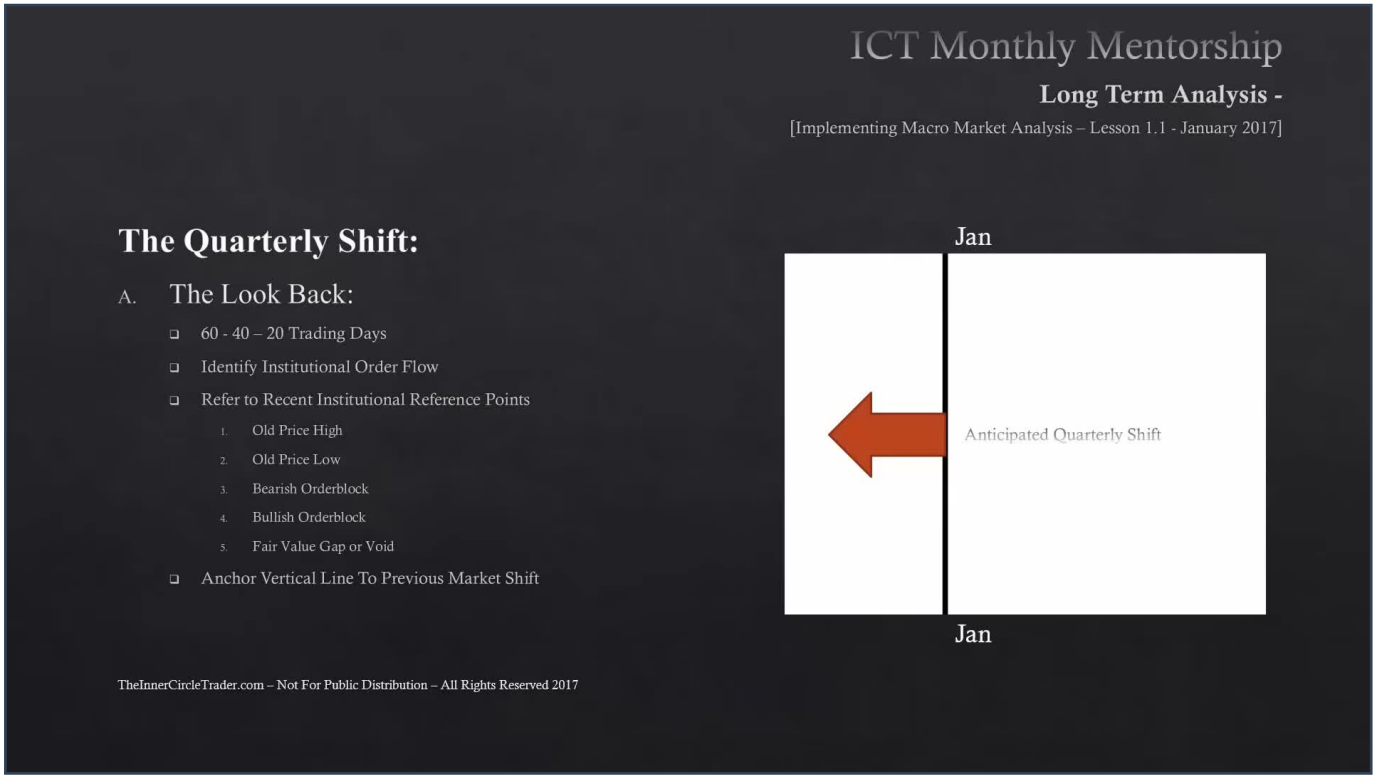


Why am I giving you those three parameters? The algorithm will reach back about three trading months worth of data; that's the average where it'll reach back for. There are other times where it will go into further ranges, but for now, I'm just teaching you how to look for the most salient points of reference on the daily chart: the 60, the 40, and the 20 trading days left of the most recent calendar month. Put your vertical line on that; that's your beginning marker point. You're going to delineate what 60 days to the left of that is, what 40 days to the left of that is, and what 20 days (all trading days, not calendar days). In those ranges, you're going to basically identify institutional order flow: what was the market doing 60 days ago to now? Or, to the left of that vertical line you place on your chart, you're going to be looking back over the 60, the 40, and the 20 past trading days to the left of that past month. You're going to look for recent institutional reference points:

- an old price high

- an old price low

Why? You're looking for a potential liquidity pool resting above it or, if those highs have a lot of wicks, you're looking for rejection blocks (a move above the bodies of the candles for a potential sell-off). Or, below an old low that has long wicks, you'd be looking for the bodies of the candle to house some sell side liquidity below that for a rejection block or sell stops below an old low if there's not a lot of wicks to the lows. This would be defined in the last 60 to 40 to 20 trading days. You'll be looking for bullish order blocks and bearish order blocks in the last 60 days, specifically around the last 60, 40, and 20 days; basically, you're looking back the last three trading months. And you'll be looking for fair value gaps and any liquidity voids as well. Once you identify over the last 60 trading days, you're using the previous closed calendar month as your beginning reference point.

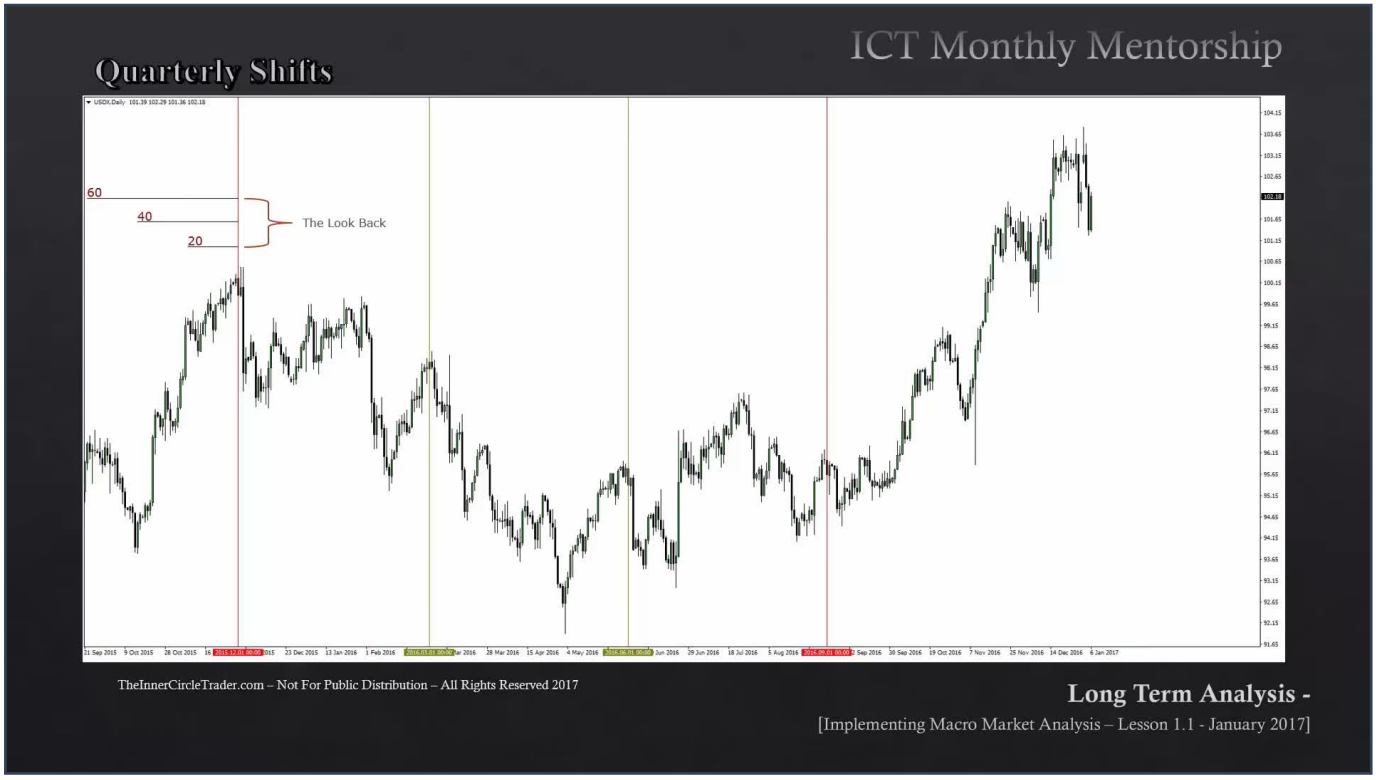


Again, as an example, if today is January 6th, 2017, and I were to use this method, I would look at December 1st, 2016. My vertical line would be on that calendar day. Then I would look 60 trading days to the left of that on my chart, 40 trading days to the left of that, and 20 trading days to the left of that December 1st (or whatever the first trading day would be for December 2016). Over those three months, I'll be looking for where the high and where the low is. If the market has been trading higher, I'm going to frame everything off of the market low. If it's been trading lower, I'm going to frame everything off of the market high. So, to repeat: you're looking back 60 trading days at the maximum. Over those last 60 trading days, you're determining what was the institutional order flow. Was it trading higher collectively, or was it trading lower collectively as a whole? Sometimes it'll be a rather large trading range, and that's okay, you'll still be able to do things with that. But for now, you want to see what's more significant: was there a significant intermediate term price low formed in the last 60 trading days to the left, or was it a significant intermediate term high that formed? Whichever is true and obvious to you, then you put your vertical line on that high or that low. So now you're calibrating it to the market structure that's in place right now. Once you do that, you're anchoring your vertical line to a previous Market structure shift. Okay, so let's go back to our daily chart of the dollar Index, and this is what we had earlier in the presentation: January 1st, 2016 to January 1st, 2017. If we were looking at the market in January 1st of 2016, we're going to actually do what I explained just a moment ago. We would be moving to December 2015, the first trading day there, versus January 1st of 2016. So we moved to the left and we noted that high, and we were always using the first calendar day of the month as that reference point to calibrate and begin. Because if our belief is the algorithm is systematic, methodical, it's going to work on data ranges, and it's going to use calendar dates, it has to reference how far to look back because it's a numerical reference point. So now we know how we can calibrate, just like the algorithm will define it in the sense of every three months there is a shift, and also in the last three months, where is the liquidity at? That's essentially what we're going to be talking

specifically about in the next teaching with the open float, but to get to that understanding, I have to teach you how to calibrate your Market structure so that way you can see where the market is most likely going to reach for.

So now we have our reference point on our vertical line all the way to the left, the furthest most left vertical line, delineated at December 1st, 2015, and now we're anchored. Now we're going to do the look back on that vertical line. We're going to be looking at the range that was created in the last 60 trading days from that vertical line that we adjusted and anchored at December 1st, 2015. Over the last 60 trading days, what we saw is the market traded higher from around October 2015, so it made an intermediate term low. The market traded up and created that short-term or intermediate term high at December 1st or thereabouts. In the last 40 trading days to the left of that December 1st, 2015 delineation with that vertical line, we also see there was a consolidation and then it expanded again once more time higher. In the last 20 trading days to the left of that vertical line, the market just kept pressing higher, so institutional order flow was bullish. So where is the liquidity at? It's going to be below the marketplace because the market has already traded higher. That's this reference point here right below that October low. The market trades lower after or to the right of December 1st, 2015. Once the market trades lower in between this reference point, once we identify where the market structure starts to break down, that means a key low was broken, and that key low is seen right here. Any retracement higher or movement higher at this moment, we're going to be anticipating a move lower because the market has already been moving bullishly, we've seen a market structure break lower, and now we're going to be anticipating a potential move lower in the dollar Index. It could be a consolidation sideways, but we're still expecting a measure of bearishness in the dollar Index post December 2015. The 60, 40, and 20 look back again focuses primarily on where the market traded from, what was the institutional order flow at that point. At this time, we can see clearly between the October and November into December 2015, the market had been trading bullishly. I don't care about the long long-term trend right now; all we're doing is looking at quarterly shifts, and this will give you a great deal of context on how you can do a lot of different trading, but it'll help you frame your position trades because without understanding this, you can't incorporate trend to get yourself on the right side of the

marketplace.



There are things that we're going to teach in the content for January that help you get in sync with long-term trends, but for the most part, I want you to look at how the market shifts back and forth both directions. The markets aren't always in big long-term trends on the higher time frame charts; they may be in a larger range. That larger range will be trends that would look dynamic on an hourly chart or 15-minute time frame, but on a higher time frame, you're still within a well-defined range. So by using this higher time frame daily chart, when we see the market structure shift bearishly, we're expecting now the next three months to be a potential correction. Again, the reference points that I asked you to go into and look for were all the things we taught in September:

- the order block (bullish and bearish)

- fair value gaps

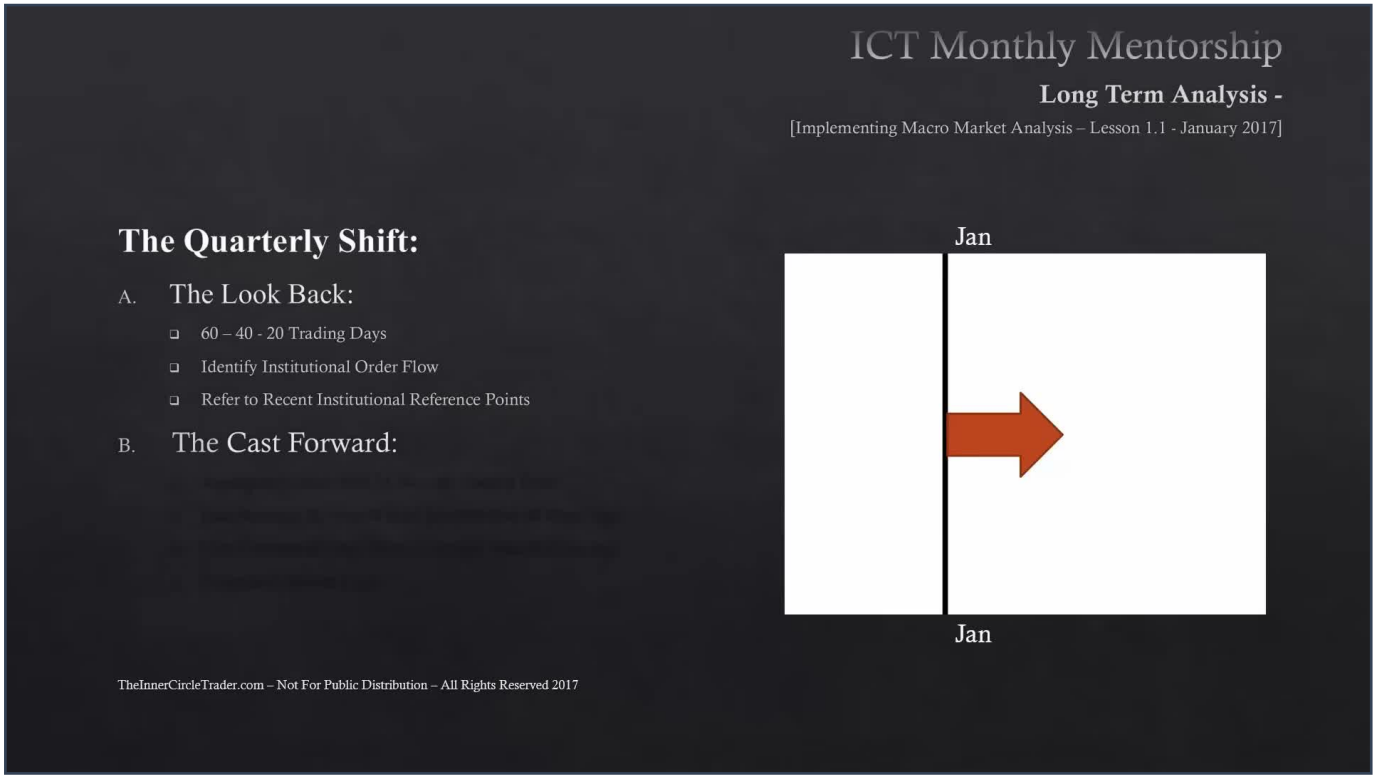
- liquidity voids

- old highs

- old lows

So we're anticipating a move back into institutional reference points, then moving lower, looking for that same event to occur, looking for lower level institutional reference points. In other words, price should be drawn down to a logical level, not randomness, but down to a logical level from an institutional vantage point where we can see where they would want to absorb liquidity or engineer new liquidity into the marketplace. So using this last 60, 40, and 20 idea, we want to look at how price in those ranges—what has it created? Well, the market has moved higher. So prior to December 1st, 2015, the marketplace had

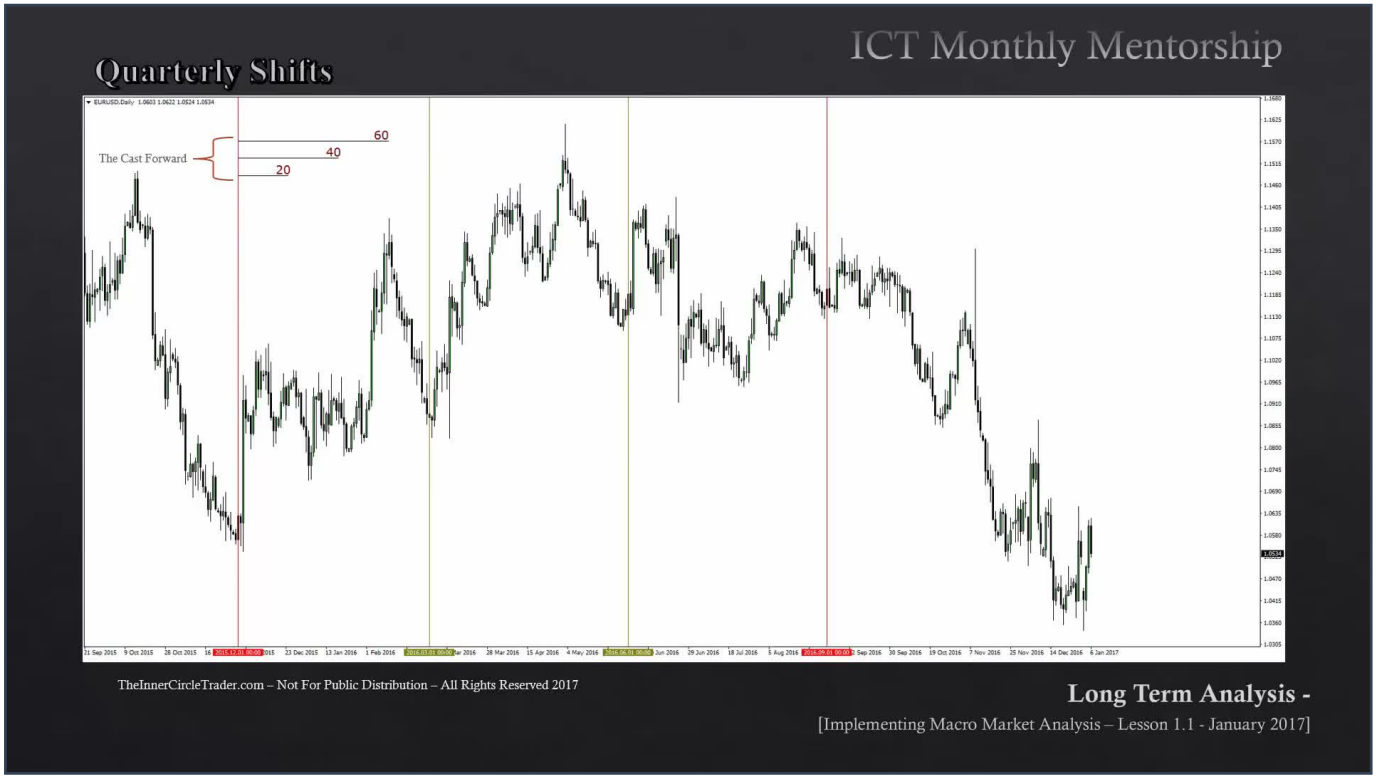
an institutional order flow that was moving bullishly. That means as the market was moving higher, every short-term low is going to have sell side liquidity or sell stops below that. So in each one of these ranges, what we can do is define the range, find the low, and then we can note that as where all of the sell side liquidity is. Now, once you have your vertical line calibrated to the most recent Market structure shift, and you've done the look back and you've defined all of the liquidity reference points on the 60, 40, and 20 last trading days to the left, and you identified institution order flow and you referred to all the recent institutional reference points that we've identified in brief listing, now you're going to be doing the cast forward.



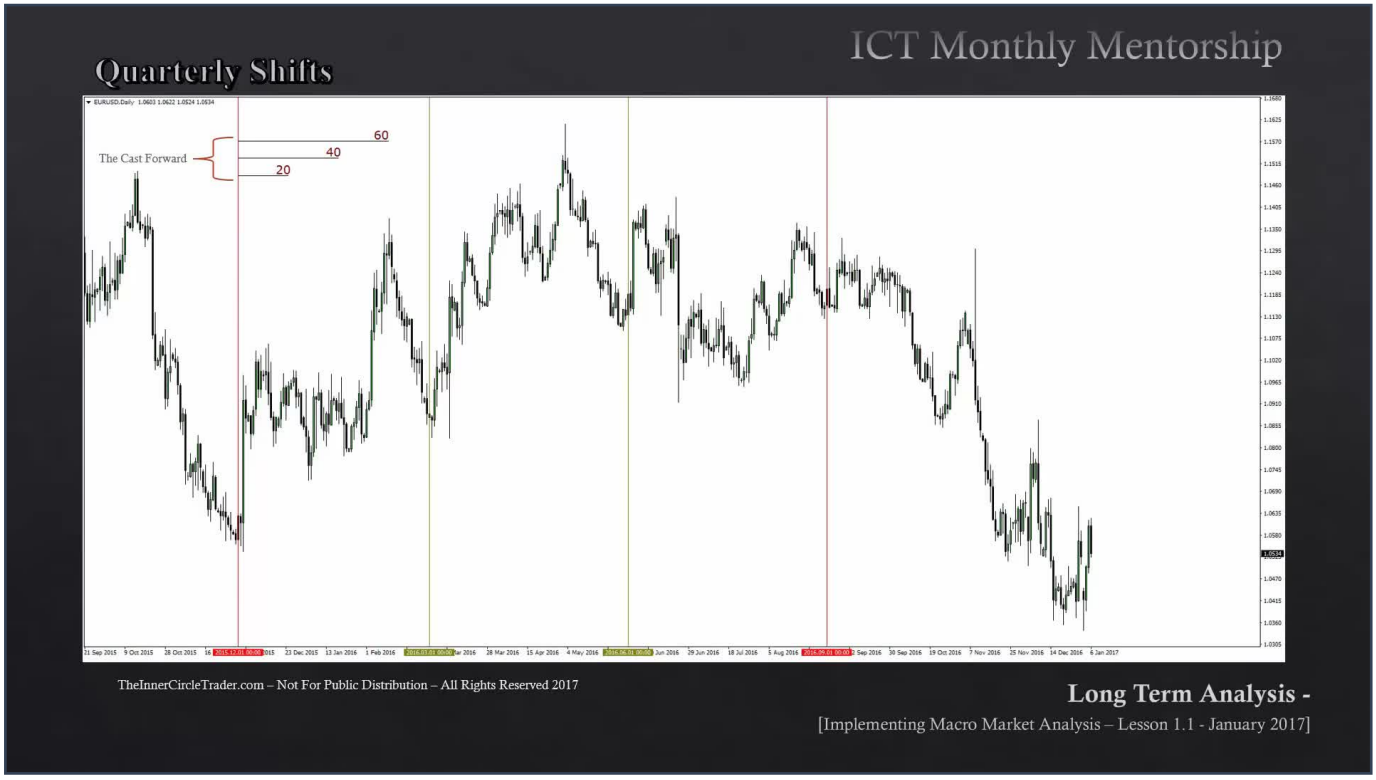
The cast forward is when you look ahead with the same parameters we use when we look back. We're anticipating the next Market shift in 20 to 60 trading days again, because if we understand and our belief is the market will have a gyration, a new directional bias, or a shift in sentiment (or as I call it, a quarterly shift). We cast forward 20 days to the right of our vertical line when the last shift was 40 days ago. In other words, if we've seen a market structure shift after a vertical line was delineated, if we see the market shift in the last 40 days to the left of where we're at now, we cast forward 40 more days because we're always using a reference point of 60 days. We cast forward 40 days when the last shift was 20 days ago. Again, the common denominator is it's 60 days of range that we're always using. We do this until we reach the extreme of the projected three-month limit, in other words, where there would be another vertical line drawn on our chart or capping three months. So what does that look like? This is what it looks like here; this is called the cast forward. We have delineated a calendar first trading day at 2015 December 1st, as we did moments ago. We have a 20-day range, a 40-day range, and a 60-day range added to the right of our December 1st, 2015 delineation (or the vertical line). Now what we have is a future day range or a data range the algorithm is going to anticipate doing a shift in the marketplace in that range between 60 and 20 days. If we've seen the market structure break down, as we saw a moment ago by delineating this low here, then we're looking for a market move going lower to fill in a potential liquidity void seen here. In the range of 60 days to the right of our Market structure shift delineation that we have at December 1st, 2015, we expect a setup on the daily chart essentially in the next 60 days. So that tells you a time horizon: you could have to wait sometimes as long as 60 trading days. Now this is the reason why I'm not a heavy positioned Trader because I don't have the capacity to wait that long for the next trade. Some of you that may be perfect for you, but for me personally it doesn't fit my cup of tea. But it doesn't have to require you trading for that entire duration; you can use this to get daily bias contacts, you can get short-term setups, and you can get long-term objectives where the market should be moving over weeks and months, versus

limiting your scope on a short-term intraday basis and marrying those lower time frames.

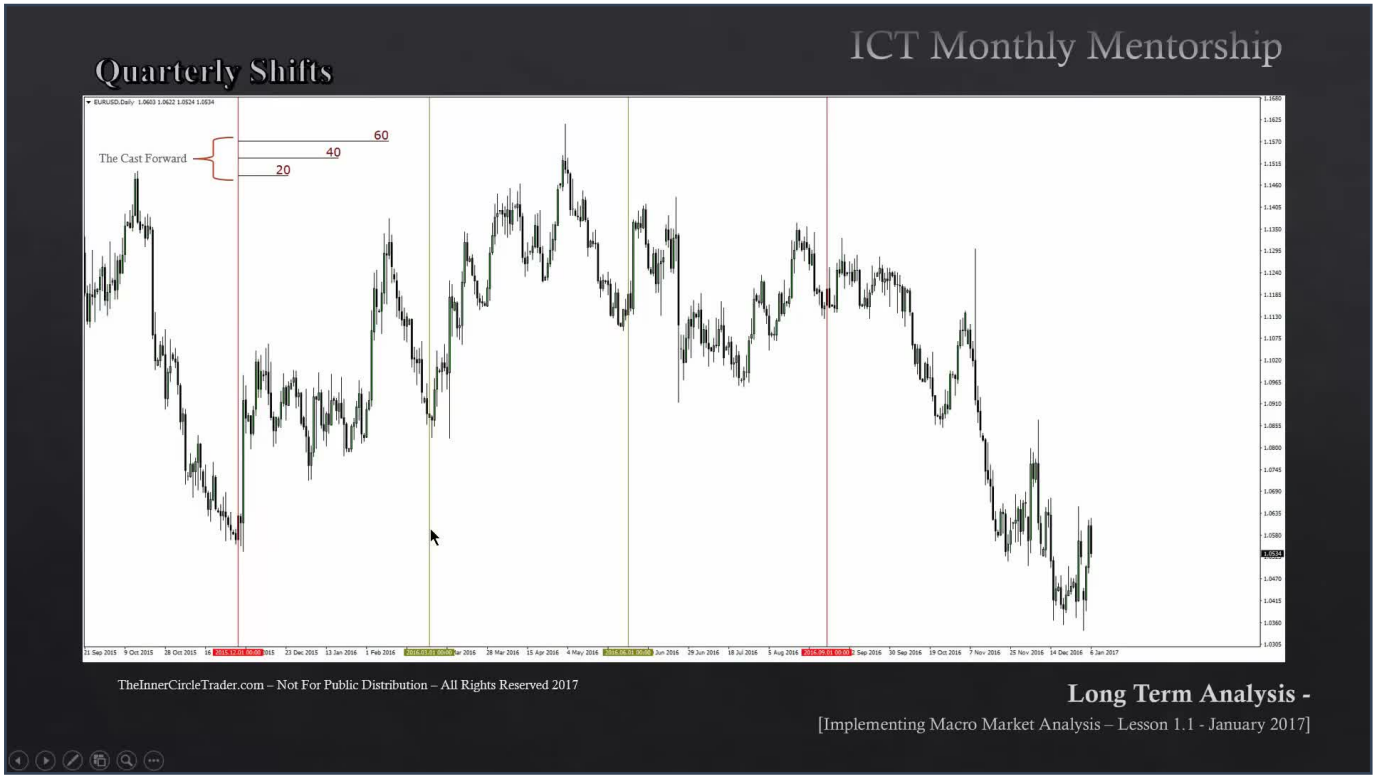
Now we're looking at the euro dollar in the same way, but obviously, like we mentioned earlier, the U.S. dollar is going to be inversely related to the euro dollar. If we're expecting bearishness on the dollar Index, we would be expecting bullishness on the euro dollar. So in the same way, we're going to add 20 days to the right of our 2015 December 1st, 40 days to the right of that vertical line, and then we're going to add 60 days to the right of that line. On MT4, you can just use a trend line and anchor it to your vertical line, drag it out to the right, and let go of it for a little bit. Click back on the right end of it and drag it out some more; you'll see the number that gives you a range. Pull that out until you get to 20, to 40, and to 60, and then you'll have the delineations that would be necessary to frame out how far the IPDA data ranges go. I want you to see that the high formed here on the euro dollar, look how it falls directly right at the 60-day IPDA data range. It nails it on the very high. Now this is a daily chart, folks, so think about what we're doing here. We're mapping out where the highest probable time when the time range should be influential in when the setups occur. Now we're going to have a lot of tools to help us move down into a lot more precision, even with this time frame, but you have to understand when the setups occur.



Again, if it's something that's not random and if it is, in fact, manipulated and controlled, there should be characteristics that repeat themselves, and it should be measurable, and we should be able to see things repeat themselves based on a criteria. The algorithm will seek to do something in the first 20 days, the first 40 days, and up to 60 days after the most recent Market structure shift. We saw a high form on the dollar Index and expected the market to move lower because it broke its Market structure bearishly. We can see the euro dollar made a low here December 1st, 2015, and price moved higher, breaking Market structure bullishly for it. In between the vertical lines, once you have calibrated your Market structure on a quarterly basis, we're assuming back in December 1st, 2015, that we would have calibrated there. Again, I'm going to give you this as a homework because I want you to go through your charts and do this very exercise, and you're going to see it's not form-fitted; it's the same stuff that you can do in your own charts. Don't just use what I'm using here; go into your charts and do the very thing that I'm showing you here. Assume that you started doing the analysis in, for instance, July of 2016, and do the same thing, and you'll see it still helps you; it'll give you all the data points that you would be using. But if we see that we're expecting bullishness on the part of the euro dollar because the dollar Index was expected to go bearishly after December 2015, that means all the way up into March 2016, we have a stance that the bearishness in the dollar should bode well for bullishness on the euro dollar.



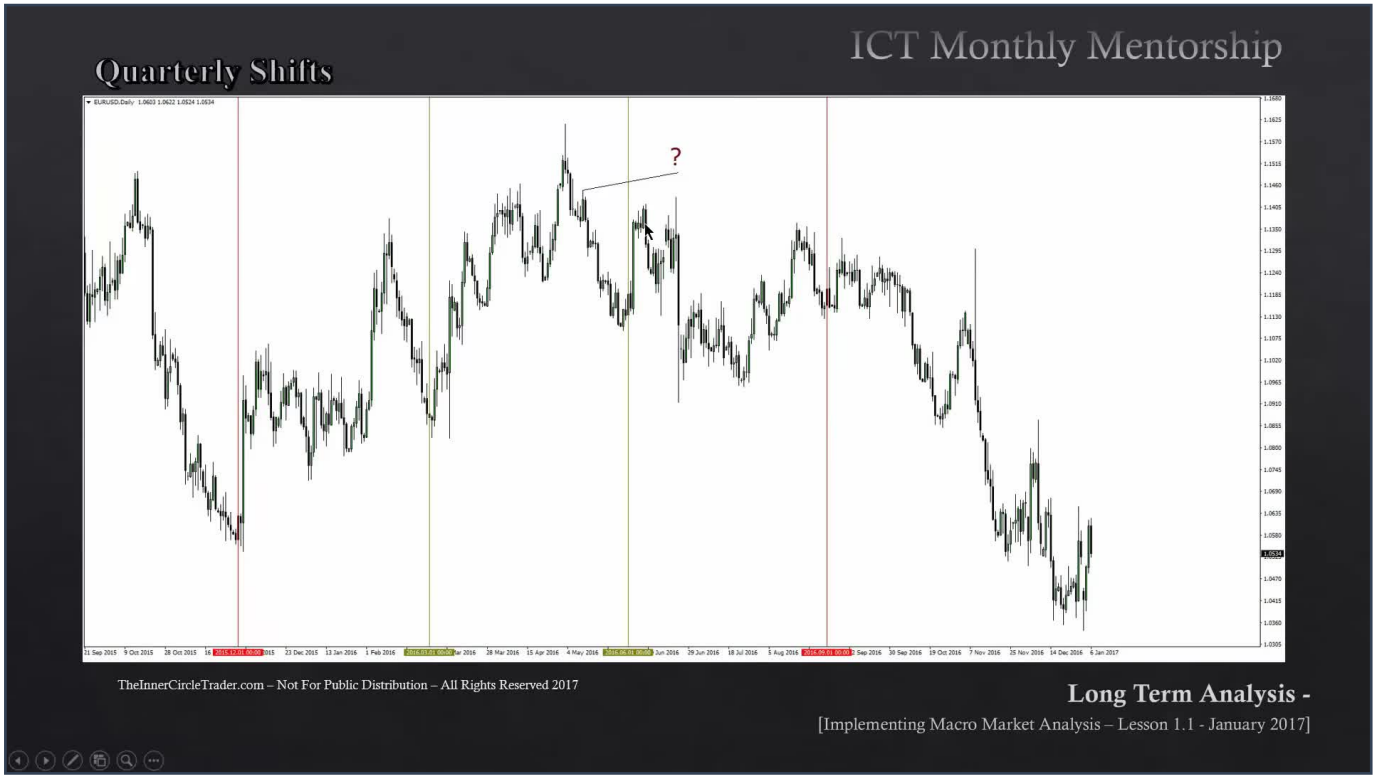
So between those two reference points, because we understand that December 1st, we go out forward three to four months, we go as far as March 1st. By having March 1st defined as the beginning of the new month out that far away, we project that limit on the quarterly range. In between December 1st and March 1st, we would be expecting a bullish signal to form in the euro dollar and a bearish signal to form in the dollar Index. Getting back to what we mentioned earlier about buy programs and sell programs, the scenario would be, even looking at a daily chart, there's going to be a manipulation that takes place even on a higher time frame daily. Let's go back to the dollar Index. Do you see the highs here? All these highs are forming inside of the data range of 60 days to the right of the beginning of December 2015. So all of these highs in here – higher, higher, higher, higher – is seeing what after the market structure break below this low here? All these retracements higher all that did was close in this liquidity void. When this void closed in up here inside of the data range of 60 days, we had to measure: is all this justified by using an inversely related currency like the euro dollar? Now we can go and take a look at the lows that were forming in the euro dollar. Here's 20 days, 40 days, and 60 days to the right of the delineation, setting our new marker for the quarterly shift. Look at the lows here in the euro dollar all the way up to the 60-day data range; the lows were higher in the euro dollar. So this was under what? Accumulation. The underlying (which would be traded because we don't trade the dollar Index, we use it as a benchmark) is failing to make a lower low again at the same time that The Benchmark is making higher highs. By all standards, this looks like bullishness every time a new high is formed, and it looks like it's trying to go higher. All it's doing is inching up the close in this liquidity void, that reference point that we talked about at the beginning of this teaching. This is what it's looking to close in; it's pressing higher. At the same time, all this entire high business is not being seen with lower lows in the euro dollar, and it's occurring in between where we delineate the market structure shift here.



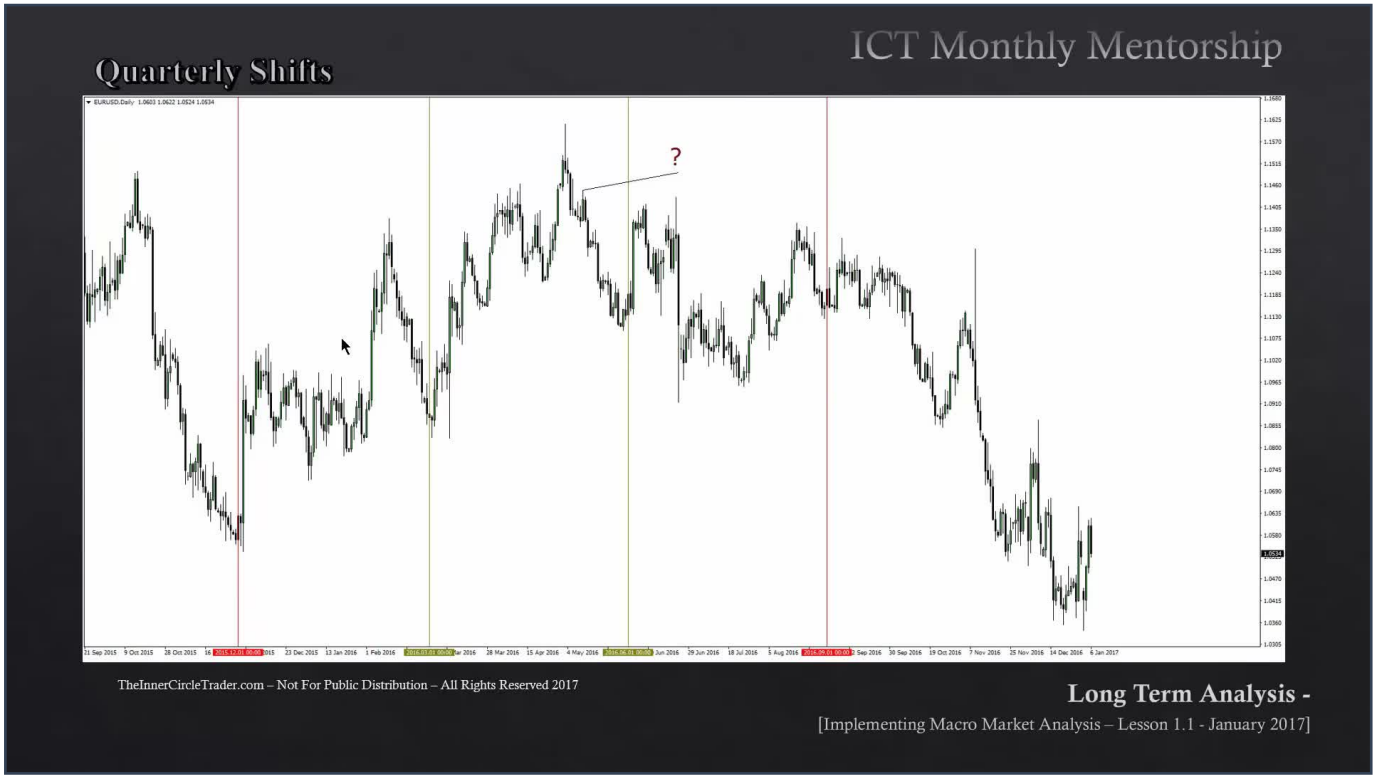
We go out three months; that means there's going to be a move that takes place in the next three months on the daily chart. We're looking for it to happen within 60 days of a new calendar month. If this data range will go out and project that long, the 60-day delineation nails the very high. So you have a buy-in here, and it ends right here after closing in this void. Essentially what we're doing is we're framing the market quarterly, and it gives us a context to look at the market modularly, so we can take the price action and really look inside of it and look for setups instead of just being lost in the whole grand scheme of things, looking at the candles' highs and lows and all that business. You have to understand there's a rhythm and there's a method behind how price is delivered, even on a daily chart like this. Every three months to four months, there's going to be a shake-up in the market; there's going to be a sentiment shift; there's going to be a change in trend. There's going to be excitement injected into the marketplace to cause interest in a specific asset class, especially if it's an asset class that's been dormant for a while, hasn't been traded much; they tend to take those markets and shake them up. By looking at the market and breaking it down like this, it gives us a great deal of context. It's specific, it's measurable, it gives us a very clear indication of what we're doing and how long it should take to form, and then looking for the signs to create these setups. You can see here at the lows, we had a market structure shift that was bullish on the dollar Index if we had these highs in here taken out on the upside. So no highs were violated on the upside prior to this high here on the daily, so institutional order flow broke to bullishness here because of the shift in Market structure.

The market's trading lower here. Now we have another divider at June 1st, 2016. So all you're doing is adding another vertical line. Once you have one, you go out in time, you add these individually. Now you can calibrate them as you see fit based on what the market's doing, but I'm going to resist the temptation to calibrate it based on this Market structure shift here because you could do the same thing here once this Market structure breaks foolishly here. You can go back to May 1st and use that as your delineation and then start going 20 days, 40 days, 60 days to the right of it. Then draw another vertical line every three months or so, and that will be the same thing to be accomplished here. But I want to keep everything as it is here because I don't want to do any more that's necessary to teach this specific principle, because we're going to build on it as we go through January's content. But I want you to take a look at what this is done. We have a low here on the dollar Index, we have a low here on the dollar Index that's lower, and then we have another lower low on the dollar Index after the market structure has broken to the bullish side. So once we have an interruption in the down move, notice also it's been essentially six months of down movement on the dollar. That's about when you're going to see the shake-up that takes place, and there's also going to be a seasonal influence that we're going to talk about in January as well. But for this movement here, I want you to take a look at the relationship of how the dollar makes these lower lows in here. Let's go back to the euro dollar at the same time; let's see what was going on around June of 2016 in the euro. Well, we're not seeing that higher high that would be reasonably expected as we saw lower lows in dollar. Let's go back again. We have lower lows in the dollar; at the same time, we should be seeing higher highs in the euro dollar. It's not happening. We see a higher high here, but you have to look at every institutional reference point. We have an old high back here. Relatively, this is not higher; it's actually lower. This is a market that's heavily being distributed. This market run up here is just a run on buy side liquidity, taking the buy stops out on short players already, and then the market trades lower. In between the vertical lines to delineate the next Market shift, there's a quarterly shift that takes place every three or four months,

and you can see that these smart money accumulation and distribution programs are very easy to see in price action, but you have to define it in such a way where you now look for it to occur.



Also notice, and I'll leave this for your own personal study, how many days away to the right of this calendar start did that high form? I'll leave that for your personal study. I'll also counsel you to take a look at this day right here: this is the election. Even on the day of the election, there is exactly out to 60 days to the right of here, 60 days on the MT4 platform, now it's the very, very high that gives us the sell-off. So initially, it opened up, traded higher on the euro dollar, and rejected and traded aggressively lower. This higher high, again, here's the old high. This higher high is not being seen with a lower low in the dollar Index, so dollar is being accumulated; the underlying strength is in dollar, can't go lower. And the euro dollar only went higher to take out the buy stops; they're going to reject that as false strength, which is a suspect rally, and the price moved lower as a result of it. So, I want you to go through these notes; this is going to require a lot of thinking, as I said this month is going to be a lot of information, which is why you have to have a video recording every single day, and they have to be pre-recorded. If I do any live sessions this entire month of January, there's no way I have enough time in the day and also live my own personal life to be able to complete all the things that's necessary to cover long-term analysis and have it all encapsulated in the first month of 2017 and then again, framework going forward. So go through the notes on this one again, go through your charts also using it as well. In summary, all you're doing is you're looking for an obvious break and shift in the marketplace like this one here. The market trades higher, and then if we were looking at the market in February, we could go back to January 1st and put our marker there, and then go out 20 days, 40 days, 60 days, and you'd get something here. We're looking back and see where the liquidity is resting. You're looking back to find what liquidity is, and you're looking forward or to the right of it to get the very next setup in terms of the data range. You're going to know how long it takes potentially before the next setup forms, and how far back you look for the liquidity reference points for where the stops are above or below the lows, and where the liquidity voids and gaps are that you want to be referencing, so it gives you context.



Believe me, we're gonna have lots of examples of this for January's content, but for the most part, I want you to look at the market on a quarterly basis. I want you to be able to calibrate your Market shifts on a quarterly basis how it's being defined in this video. Regardless of where you're at in time, for instance, say it was November 14th, 2016, what month would you calibrate your vertical line to to start? If you said October 1st, 2016, you're accurate, you're correct. If you said anything other than that, you're wrong. You want to go back to the previous closed month; you want to go back one full calendar month where it traded from the first trading day to the last trading day and then created a new month. By doing that, you calibrate yourself. That way, you'll be able to see what it is doing reference-wise. And then you start walking forward from there. When you see an obvious change in trend, which we saw up here, we have a market structure break here bearishly for the Euro. All this rallying up is just another attempt to do what we saw happening in the dollar back here when it had a market structure break bearishly; it traded higher up, closing the void, and then sold off. The same thing is just being seen here: Market structure break here, smart money comes up, take out buy side liquidity and underlying weakness seen here, the heavy distribution, and the market goes lower as a result of it. Again, we'll talk more on this as we go through the content throughout the year, but for January, we'll touch more on this because I'm quite sure while your gears are turning now and you're probably really excited about what you're seeing, some of you invariably are going to want to send me emails: I didn't understand this, I didn't understand that. Don't do that yet. Hold off on sending emails and wait and see if the content doesn't answer your questions by the end of this month. Until the next video, wish you good luck and good trading.